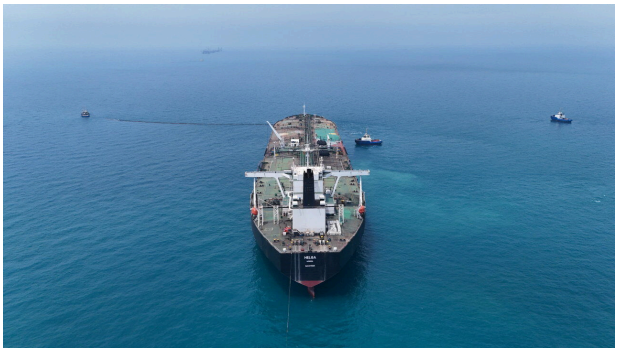
The world in brief

Catch up quickly on the global stories that matter



Photograph: Reuters

The price of **Brent crude**, the global oil benchmark, soared past $125 a barrel—its highest level since 2022—before falling, as hopes of a swift end to the conflict evaporated. Donald Trump said he would maintain a naval blockade of Iran's ports until it agrees to curb its nuclear programme.

The **Pentagon** revealed that the war with Iran has cost America $25bn so far. At a hearing in Congress, Pete Hegseth, the secretary of war, said preventing Iran from getting a nuclear bomb is worth the money. He denied that the war had become "a quagmire" and lambasted the "defeatist words of congressional Democrats and some Republicans".

Alphabet, Google's parent company, reported net income of $62.6bn, up 81% year on year, in part because use of artificial intelligence is increasing demand for its cloud-computing services. Its shares rose by 7%. Microsoft and Meta also reported strong earnings. But Meta's stock dropped by 7%. Investors worry that its number of active users has fallen and that its enormous investments in AI will not pay off.

Taiwan's economy grew at its fastest pace in nearly four decades, largely fuelled by the AI boom which has increased demand for

computer chips that the country makes. Taiwan's statistics bureau reported a 13.7% year-on-year increase in GDP in the first quarter. GDP expanded by around 2.8% during the quarter. Taiwan's economy was among the world's top performers last year, with GDP expanding by 8.7%.

An **Australian** commission on **antisemitism**, set up after a massacre last year at a Hanukkah celebration on Bondi beach, recommended that the government finalise a national gun-buyback scheme and bolster policing during Jewish holidays. Meanwhile, police declared a stabbing in north London, which seriously injured two Jewish men, a terrorist incident. Several antisemitic attacks have taken place in Britain recently.

Volkswagen reported that operating profits in the first quarter dropped by 14% year on year to €2.5bn ($2.9bn), blindsiding analysts. The carmaker, whose brands include Audi and Porsche, is suffering from a fall in sales in America and China and from an annual €4bn tariff bill from America. Volkswagen said cost-cutting measures planned so far, including proposals to cut 50,000 jobs in Germany by 2030, are "not enough".

Rémy Cointreau, a French spirit-maker, recorded its first annual revenue growth in three years. Full-year sales were €935.3m ($1.1bn), up 0.2% from the year before but below analysts expectations. Cognac sales jumped 16% in the fourth quarter but fell 0.5% over the full year. In November, its chief executive promised the "start of a new era" for Rémy.

Figure of the day: 12, the number of African countries expected to be among the world's 20 fastest-growing economies in 2026. Read the full story.

Photograph: Getty Images

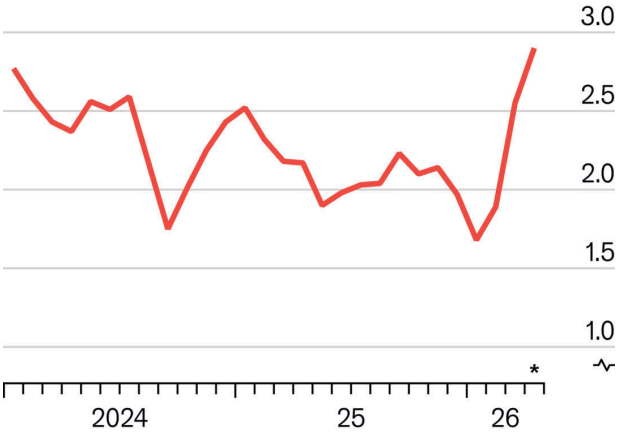
Europe’s opaque economic outlook

Europe’s economy—which includes 27 nations and several currencies—is difficult to predict at the best of times. It is even harder now. The global energy shock is dampening consumers’ appetites and putting upward pressure on inflation, which hit 3% in the euro zone, according to preliminary figures published on Thursday, and is forecast to reach 5% or more this year if oil prices stay above $100 into 2027.

New data shows quarterly growth of just 0.1%, compared to the final quarter of 2025. There is no obvious way forward. Recent business-activity data for services were dire, at post-pandemic-era lows, while those for industry were at a buoyant 47-month high. At its meeting on Thursday, the European Central Bank will probably leave rates unchanged, as inflation risks spilling over into the broader economy.

Shock at the till

Euro area, consumer prices, % increase on a year earlier



Source: Haver Analytics

*Forecast

Illustration: David Simons

The Bank of England’s waiting game

Britain’s central bank is expected to keep its benchmark interest rate at 3.75% on Thursday. Before the war in the Gulf the Bank of England was cutting rates; it has done so six times since August 2024. In early February the bank projected that inflation would fall to around 2% (its target) in the second quarter of 2026, leading traders to expect further cuts. But because of soaring energy costs the bank’s latest analysis suggests that inflation could reach 3.5% this year.

Huw Pill, its chief economist, and others worry this will cause wages and prices to push each other higher over a longer period. They think a pre-emptive interest-rate hike might be the best way to prevent that. But a premature rise could weaken an already-fragile economy. Most of the bank’s policymakers—including Andrew Bailey, the governor—will probably urge caution. They will want the fog of war to clear a little before they alter rates.

Photograph: EPA

Iran’s World Cup dilemma

More than 200 national football federations will attend the annual congress of FIFA, the game’s global governing body, which starts in Vancouver on Thursday. The men’s World Cup in America, Canada and Mexico, which kicks off in just six weeks, is sure to dominate discussions.

That will mean more political talk than usual—not least about Iran’s participation. The country’s sports minister, Ahmad Donyamali, has expressed concerns about security, linked to the war with America. “Our boys are not safe,” he has said. Iran are due to play group-stage matches against Belgium and New Zealand in Los Angeles and against Egypt in Seattle. FIFA has dismissed requests to move the games to Mexico.

FIFA’s president, Gianni Infantino, is eager to keep the ball rolling. He insists that Iran will take the field. But with five members of the Iranian women’s team granted humanitarian visas after a tournament in Australia, security concerns may be the least of Tehran’s worries.

Photograph: Propstore

Souvenirs of popstars past

Pop memorabilia is big business. Recently Christie's, a venerable auction house, sold a Fender Stratocaster played by David Gilmour, Pink Floyd's guitarist, for a record $14.5m. The "Treasures from Music" auction, which opens on Thursday in London, caters to (somewhat) smaller budgets. Propstore, the auctioneer, founded in 1998, is two centuries younger than Christie's. Its catalogue includes curios connected to Michael Jackson, Amy Winehouse, Oasis and Queen. The prices range from three to six figures.

Among the most expensive is an autographed Gibson Les Paul guitar used by Slash of Guns N' Roses, which could fetch £300,000 ($405,000). Other highlights include a fur coat that belonged to George Harrison, the Beatles' late lead guitarist; a proof print of "Aladdin Sane", David Bowie's lightning-flash album cover; and a leather jacket worn by George Michael in his "Faith" music video. From this century, a battered pair of Kendrick Lamar's Nike sneakers is listed for £20,000.

Illustration: Sandra Navarro

Daily quiz

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 BST on Friday to . We'll pick three winners at random and crown them on Saturday.

Thursday: Which buildings in Malaysia were the world's tallest from 1998 to 2004?

Wednesday: The median appears at which point of a statistical distribution?

Work is the best of narcotics, providing the patient be strong enough to take it.

Beatrice Webb